

Going Concern

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IAASB Meeting
September 12-16, 2022

Agenda: Selected Topics on Going Concern

Terminology

Risk Identification and Assessment

Changes to Draft Standard Since June 2022 in Response to Board Input:

- Timeline
- Communication with TCWG
- Communication with Appropriate External Parties
- Transparency About Going Concern in the Auditor's Report

Management's Assessment of Going Concern

Professional Skepticism

Non-Authoritative Guidance Released

IAASB

Frequently Asked Questions
August 2022

Reporting Going Concern Matters in the Auditor's Report

This publication has been developed by the Going Concern Task Force of the International Auditing and Assurance Standards Board (IAASB) to address some of the common questions in relation to the use of and the interrelationship of Material Uncertainty Related to Going Concern and Key Audit Matters sections and Emphasis of Matter paragraphs, in the auditor's report prepared in accordance with International Standards on Auditing (ISAs).

This publication does not amend or override the International Standards on Auditing (ISAs), the texts of which alone are authoritative. The frequently asked questions are not meant to be exhaustive¹ and reading this publication is not a substitute for reading the ISAs.

ABBREVIATED TERMS FREQUENTLY USED IN THIS PUBLICATION:

MURGC – Material Uncertainty Related to Going Concern	KAM – Key Audit Matters	EOM – Emphasis of Matter
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Question 1	What is the purpose of MURGC and KAM sections and EOM paragraphs in the auditor's report?
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The table below provides an overview of the purpose of Material Uncertainty Related to Going Concern (MURGC) and Key Audit Matters (KAM) sections and Emphasis of Matter (EOM) paragraphs:

Heading	Purpose
Material Uncertainty Related to Going Concern²	► Applies if the auditor has concluded that a material uncertainty related to going concern exists, and for which adequate disclosure has been made in the financial statements. The use of a separate section that includes reference to the fact that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern is intended to give additional prominence to this information and alert users to this circumstance.
Key Audit Matters³	► Provides information to intended users to assist them in understanding those matters that, in the auditor's professional judgment, were of most significance in the audit of the financial statements of the current period, including how such matters were addressed in the audit.

September 2022 CAG Discussion

Overall:

- Broad support for proposals

Terminology:

- Support for defining material uncertainty (related to going concern)
- Highlighted importance of consistency and alignment with terminology used in the international financial reporting standards where possible

September 2022 CAG Discussion – cont.

Timeline over which the going concern assessment is made:

- Changes to the commencement date of management's assessment viewed positively
 - Enables more “up-to-date” information to be used in management's assessment
 - Reinforces the period of reliance users have on the entity's ability to continue as a going concern
 - Reinforce that the FRF establishes a **minimum** 12-month period.
- Concern over the practicality of the proposals (e.g., delay to audit)

September 2022 CAG Discussion – cont.

Transparency about going concern in the auditor's report:

- Broad support for enhanced transparency in the auditor's report
- Caution to avoid boilerplate

Other comments:

- Consideration of external information when evaluating management's assessment of going concern

Standard-Setting Considerations

Qualitative Standard-Setting Characteristics

Clarity and Conciseness

Enhance understandability and minimize the likelihood of differing interpretations

Coherence

With the overall body of standards

Scalability

Addresses both less and more complex circumstances

Implementability

Ability of being consistently applied

Comprehensiveness

Limiting the extent of exceptions from the principles

Relevance

Responding to emerging issues and changes in the business environments



**Focused on the Targeted
Actions of the Project Proposal**

Matters for the IAASB Consideration



Terminology

Paras. 6–7, 9A and
A2A–A2C, A8, A21–A22

Question 1

The Board is asked for its views on the GC TF initial proposals for terminology discussed in paragraphs 18-30 and as reflected in the relevant drafting paragraphs included in **Agenda Item 7-A**.

Matters for the IAASB Consideration



Risk Identification and Assessment

Paras. 10–10A, 11A–11B
and A3–A4B, A4D–A7B

Question 2

The Board is asked for its views on the GC TF initial proposals for risk identification and assessment discussed in paragraphs 33-49 and as reflected in the relevant drafting paragraphs included in **Agenda Item 7-A**.

Matters for the IAASB Consideration



Management's Assessment of Going Concern

Paras. 12, 12B, 13C, 14–15, 16A, 16C–16E, 24A, 26 and A9, A10A–A10B, A13B–A13D, A16A–A16B, A17–A17B, A35A, A19B

Question 3

The Board is asked for its views on the GC TF initial proposals for the auditor's evaluation of management's assessment of going concern discussed in paragraphs 53-83 and as reflected in the relevant drafting paragraphs included in **Agenda Item 7-A**.

Matters for the IAASB Consideration



Professional Skepticism

Paras. 12A, 17A and
A4C, A10C, A22A–A22C

Question 4

The Board is asked for its views on the GC TF initial proposals for professional skepticism discussed in paragraphs 87-96 and as reflected in the relevant drafting paragraphs included in **Agenda Item 7-A**.

Matters for the IAASB Consideration



Changes Since June 2022 in Response to Board Input:

- **Timeline:**
Paras. 13, 13A–13B, 14A and A11, A13E–A13F
- **Communication with TCWG:**
Paras. 25 and A36A–A36C
- **Communication with Appropriate External Parties:**
Paras. 25A and A37A–A37D
- **Transparency in the Auditor's Report:**
Paras. 21A–21B, 22 and A25A, A27A–A27E

Question 5

The Board is asked for its views on the GC TF revisions for the issues discussed in **Part B** and as reflected in the drafting paragraphs included in **Agenda Item 7-A**.

Way Forward

Monitoring jurisdictional developments, ongoing dialogue and engagement with others in the financial reporting ecosystem

Q4 2022:

- Development of exposure draft: IAASB deliberation of issues and proposals
- Coordination with other IAASB task forces, working groups and consultation groups

Q1 2023:

- IAASB approval of exposure draft (March 2023)



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